



CFPB'S SECTION 1033 RULE

BALANCING DATA ACCESS AND CONSUMER PROTECTION

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EXECUTIVE SUMMARY

The Consumer Financial Protection Bureau (CFPB) recently finalized its Section 1033 rule to enhance consumer financial data portability. This rule mandates that financial institutions provide secure access to consumer data upon request to authorized third parties. While the rule seeks to promote competition, enhance innovation, and empower consumers, it introduces significant risks to privacy, national security, and market competition. Markets—not mandates—are better suited to address data portability while safeguarding consumer interests. This paper examines the final rule's provisions, evaluates potential risks, and proposes reforms rooted in free-market principles prioritizing individual choice, privacy, and competition.

KEY FEATURES OF THE FINAL RULE

The [CFPB's Section 1033 rule](#) imposes sweeping obligations on financial institutions and third-party entities, fundamentally altering the financial data ecosystem. Unlike previous regulations, which primarily focused on protecting consumer privacy and regulating data use within traditional financial institutions, this rule mandates a standardized framework for sharing data across diverse entities, including fintech firms.

While earlier frameworks like the Gramm-Leach-Bliley Act emphasized consumer consent and institutional responsibility, Section 1033 expands these obligations by enforcing uniform data-sharing protocols and limiting the use of outdated practices like screen scraping. This shift significantly broadens regulatory oversight, introducing opportunities and challenges for financial institutions and consumers. Data providers, including banks and credit unions, must now share sensitive consumer data such as transaction histories and account balances with third parties upon consumer authorization. To achieve this, institutions must implement standardized, secure Application Programming Interfaces (APIs), effectively replacing outdated practices like screen scraping.

Third parties, on the other hand, are subject to new certification requirements. They must ensure that consumer data use, collection, and retention are limited to what is “reasonably necessary” to provide requested services. Additionally, data retention is capped at one year unless the consumer explicitly reauthorizes access. Privacy measures are emphasized, with the rule barring the use of consumer data for targeted advertising, cross-selling, or other secondary purposes without explicit consent. Compliance deadlines range from 2026 to 2030, depending on the financial institution's size.

For example, a consumer switching from one financial institution to another could authorize transferring their account and transaction history to a budgeting app, enabling seamless service integration. While this enhances convenience, it raises concerns about the app's ability to securely store and protect such sensitive information.

PRIVACY RISKS AND DATA SECURITY CONCERNS

One of the most contentious aspects of the Section 1033 rule is its potential to undermine data security. The rule introduces significant vulnerabilities in the financial system by compelling financial institutions to share sensitive consumer information with third parties. While the CFPB has mandated baseline security requirements for third parties, these measures rely heavily on self-certification, leaving gaps in enforcement. For instance, many third-party entities lack the robust compliance frameworks that traditional financial institutions must maintain under regulations such as the Gramm-Leach-Bliley Act ([GLBA](#)).

Prohibiting screen scraping is a positive step toward improving security, as it reduces the risk of unauthorized access to consumer credentials. However, the risk of data breaches remains high without stringent and enforceable API standards. Recent studies have shown that the financial sector is already a prime target for cyberattacks, with data breaches costing the industry billions annually.

For instance, the 2021 breach at a major payment processor exposed the sensitive data of over 100 million consumers, leading to financial losses exceeding \$400 million and widespread distrust in third-party data handlers. Such incidents highlight the challenges of securing interconnected financial networks and the need for stringent, enforceable safeguards to protect consumer data ([Forbes](#)). Allowing unregulated third parties to access consumer data could exacerbate these risks, particularly as hackers increasingly exploit vulnerabilities in fragmented security ecosystems. A lack of consistent oversight further complicates efforts to hold bad actors accountable, leaving consumers to bear the brunt of financial and reputational damage.

ECONOMIC AND MARKET IMPLICATIONS

The rule's economic impact will likely be felt most acutely by smaller financial institutions, such as community banks and credit unions, which lack the resources to develop and maintain the required data-sharing infrastructure. These institutions, often the backbone of underserved rural and low-income communities, could face disproportionate compliance costs. A recent analysis by the [Bank Policy Institute](#) highlights that smaller banks may spend up to three times more on compliance as a percentage of revenue compared to larger institutions.

Take, for example, a rural community bank that serves predominantly agricultural clients. The costs of implementing standardized APIs and meeting compliance requirements could consume a significant portion of the bank's operating budget. This diversion of resources may lead to reduced lending capacity, delayed technology upgrades, or even cuts to community-focused services. In contrast, larger institutions with economies of scale are better positioned to absorb these costs without disrupting core operations, giving them a competitive advantage over smaller, local banks. Implementing standardized APIs to comply with Section 1033 could divert critical resources from lending programs or technology upgrades, reducing the bank's ability to serve its community effectively. In contrast, larger institutions with more resources may find it easier to absorb these costs, gaining a competitive edge.

Furthermore, prohibiting fees for third-party data access creates a de facto subsidy for fintech firms. By bearing the costs of compliance without the ability to recoup them through user fees, financial institutions are effectively subsidizing competition from non-bank entities. This could entrench the dominance of large technology firms, reducing consumer choice and stifling innovation among smaller players. Ironically, a rule that fosters competition could undermine it by accelerating market consolidation.

NATIONAL SECURITY RISKS

Expanding data-sharing mandates to include global third parties introduces significant national security risks. Notably, nonbanks operating in countries with deficiencies in Anti-Money Laundering and Countering the Financing of Terrorism (AML/CFT) standards, as identified by the Financial Action Task Force (FATF) grey list, could exploit these vulnerabilities to target Americans with fraudulent schemes. Moreover, the threat of state-controlled banking regimes, such as those in China, which have demonstrated a vested interest in collecting large datasets on U.S. citizens, underscores the need for stringent safeguards to mitigate risks of data exploitation and espionage.

Without strict limits on cross-border data flows, sensitive U.S. financial data could fall into the hands of foreign actors. This concern is particularly acute regarding countries with inadequate data protection standards or adversarial governments. As noted in a [Consumer Financial Monitor report](#), the lack of geographic restrictions on data storage and processing leaves the U.S. financial system vulnerable to espionage, fraud, and other forms of cybercrime.

Consider a scenario where a third-party fintech company headquartered in a country with weak data protection laws gains access to U.S. consumer financial data. For example, in 2022, reports surfaced of international entities exploiting lax data protection standards to extract sensitive financial information, leading to significant fraud incidents. Such cases demonstrate how the absence of stringent safeguards can compromise individual consumers and the stability of the broader financial ecosystem. The lack of safeguards could enable malicious actors to use this data for espionage or financial fraud, compromising individual consumers and broader financial stability. Recent incidents involving foreign interference in U.S. critical infrastructure highlight the urgency of addressing these vulnerabilities.

RECOMMENDATIONS FOR REFORM

STRENGTHEN PRIVACY AND SECURITY STANDARDS

Policymakers should consider enforcing uniform and verifiable security standards for all entities accessing consumer data. Mandatory independent audits and stringent accountability for noncompliance should be implemented to supplement existing self-certification requirements.

ALLOW MARKET-BASED PRICING

Revoke the prohibition on fees for third-party data access. Allowing financial institutions to charge reasonable fees for data-sharing services would incentivize investment in secure infrastructure and offset compliance costs. This approach ensures that institutions of all sizes can participate in a fair and competitive market.

PROMOTE INDUSTRY-LED STANDARDS

Encourage voluntary standard-setting initiatives led by industry consortia to develop interoperable, secure APIs that reflect market needs. Initiatives like the Financial Data Exchange (FDX) have successfully created standardized, consumer-centric solutions, reducing reliance on insecure practices such as screen scraping. Highlighting and expanding such efforts can foster a more collaborative data-sharing approach while addressing security concerns. Such standards have already effectively reduced reliance on insecure practices like screen scraping. For instance, initiatives like the Financial Data Exchange (FDX) have demonstrated the potential of industry collaboration in creating secure, consumer-centric solutions.

ADDRESS NATIONAL SECURITY CONCERNS

Discourage the storage or processing of consumer financial data in high-risk jurisdictions. Enhance coordination between the CFPB and national security agencies to monitor and mitigate risks associated with international data-sharing arrangements. Such measures could include regular security assessments and the establishment of data residency requirements.

CONCLUSION

The CFPB's Section 1033 rule represents a pivotal shift in regulating financial data sharing. While its goals of enhancing consumer empowerment and fostering competition are laudable, its implementation raises significant concerns about privacy, security, and market dynamics. By adopting a free-market approach that prioritizes individual choice and innovation, policymakers can achieve the rule's objectives without compromising consumer trust or financial stability. Real reform must balance the need for consumer data portability with robust protections that preserve privacy, foster competition, and safeguard national security.

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